Antai Research Challenge

Team DORATOUR

Team DORATOUR Student Research

Consumer Discretionary Sector, Lodging Industry

Atour Lifestyle Holdings Limited

Date: 17 December,2025	**USD/CNY: 7.05**	**Recommendation: BUY**
Ticker: ATAT.O	**Current Price: USD 41.02**	**Target Price: USD 48.43**

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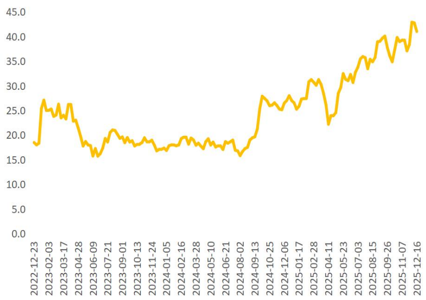
Market Profile	
52 Week High/Low (USD)	43.2/21.5
Avg. Daily Volume	2,762,839
Shares Outstanding	340.88M
Market Cap. (CNY)	5.67B
Beta	0.81
P/E (TTM)	27.38
P/S (TTM)	4.61



Source: Wind

Slogan: Life is a tour

Highlights

Atour is a leading lifestyle group in China, uniquely blending hospitality and retail under a "Chinese Experience" philosophy. Founded in 2013, the company operates a growing portfolio of 1,824 hotels with 204,784 rooms as of June 2025, ranking first in scale and market share among mid-to-high-end hotel chains in China. Atour has successfully built an integrated brand ecosystem anchored by its humanistic values and mission to "Foster warm connections between people."

China's mid-to-high-end hotel industry continues to expand, fueled by consumption upgrades and policy support. The market size exceeded RMB 380 billion in 2024, with a CAGR of 12.3% from 2019 to 2024. Atour operates in the high-growth segment of "mid-to-high-end chain + scenario-based retail," where it benefits from rising demand for quality accommodation, integrated experience-driven consumption, and digital-operation trends.

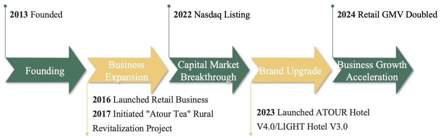
A unique "Hotel + Retail" dual-engine model sets Atour apart and drives superior profitability. The company leverages its hotel network as a zero-marginal-cost experience hub for lifestyle products, generating over 30% of total revenue from retail (2024) with gross margins of 51%–53%. This high-margin retail business has transformed Atour's profit structure, raising consolidated gross margin from 25.5% in 2021 to 41.6% in 2024 and providing resilience against lodging-industry cycles.

Strong membership ecosystem and asset-light franchise model underpin sustainable growth. With over 102 million registered members and a 52.8% repurchase rate, Atour's private-traffic pool supplies 77% of total sales, reducing reliance on OTAs. The 97% franchise ratio minimizes capital expenditure while enabling rapid, capital-efficient scale expansion, supporting industry-leading return-on-equity (ROE) of 51% in 2024.

Profit Forecast and Investment Rating: Atour's operating revenue is expected to maintain robust growth, driven by continued hotel network expansion and rapid retail scaling. Based on a forward P/E multiple of 23× for 2026 and expected EPS of 15.26 CNY, the target price is 350.98 CNY (49.78 USD at USD/CNY 7.05). Combined with a DCF-based valuation, the blended target price reaches **USD 48.43**, offering an attractive upside relative to the current price of USD 41.02. We issue a **BUY** recommendation.

Risks: 1) Macro-economic sensitivity and intensifying competition in the mid-to-high-end hotel segment; 2) Operational risks associated with franchise-quality control and supply-chain coordination; 3) Execution risks in digital-system integration and member-ecosystem development.

***F1:* Atour's Development Timeline**



Source: Company Official Website, Annual Report

***F2:* Hospitality & Retail Brand Matrix Hierarchy**

Luxury	A.T.HOUSE	Aspiring Class, Immersive Lifestyle
Premium	SAVHE Hotel	Oriental Aesthetics
	ATOUR S Hotel	Quality Business Travelers
Mid-to-High End	ATOUR Hotel	Business Travelers, Humanistic Experience
Mid-Range	ATOUR X Hotel	Non-Standard Accommodation
	LIGHT Hotel	Young Business Travelers
Retail	αTOUR PLANET	Sleep Products
	SAVHE	Oriental Fragrance

Source: Company Product Brochure

***F3:* A.T.HOUSE & SAVHE Hotel & ATOUR S Hotel & ATOUR Hotel & ATOUR X Hotel & LIGHT Hotel**

Business Description（Corporate Governance）

1.1 Company Profile

Atour Lifestyle Holdings Limited (NASDAQ: ATAT) is a leading lifestyle group originating from accommodation, advocating "Chinese Experience" and committed to building a brand ecosystem integrating hospitality and retail. Founded in 2013, the company was inspired by Atour Village, a small village on the China-Myanmar border along the Nu River in Yunnan—known for its natural tranquility, simplicity, and the honest, trusting connections among villagers. This experience shaped Atour's core brand philosophy: "Humanistic, Warm, Interesting" and its mission to "Foster warm connections between people".

On November 11, 2022, Atour successfully listed on the Nasdaq Stock Exchange, marking a key milestone in its capitalization journey. As of June 2025, the company operates 1,824 hotels with 204,784 rooms across China, boasting over 102 million registered members. According to data from Frost & Sullivan, a renowned international consulting firm, Atour ranks first in terms of scale and market share among mid-to-high-end hotel chains in China.

In terms of ownership and management, Mr. Wang Haijun, the founder, serves as Chairman of the Board and CEO. With extensive experience in the hotel industry (previously holding key positions at H World Group, Home Inns, and Jinjiang Inn), he leads a diverse management team with backgrounds in hospitality, internet, finance, and media. Ctrip is a major shareholder, holding approximately 14.8% beneficial ownership, strengthening Atour's industrial and capital synergies.

1.2 Product Family Matrix

Atour has constructed a comprehensive product matrix covering both hospitality and retail sectors, catering to diversified user needs and scenarios.

1.2.1 Hospitality Brand Matrix

The six core hospitality brands span from luxury to mid-range segments, achieving full price-band coverage:

· **A.T.HOUSE:** A luxury lifestyle brand integrating the comfort of "Home" and the professionalism of "Hotel", creating immersive living scenarios for the aspiring class with thoughtful design and diverse formats.

· **SAVHE Hotel:** A high-end lifestyle brand inspired by the power of "breath" (derived from the Lisu ethnic language in Yunnan). It blends Oriental elements and contemporary art to craft a serene retreat for guests.

· **ATOUR S Hotel:** A premium business travel brand with prime locations and unique artistic taste, focusing on serving individuals pursuing quality living.

· **ATOUR Hotel:** The core mid-to-high-end humanistic business hotel brand, featuring mobile reading and local photography. Its V3.6 version emphasizes efficient business travel, while V4.0 ("Jian Ye") integrates business and urban vacation with a "symbiosis with nature" design concept.

· **ATOUR X Hotel:** A high-quality non-standard brand offering diverse and distinctive accommodation options while maintaining Atour's warm service standards.

· **LIGHT Hotel:** A mid-range brand targeting young business travelers, balancing efficiency and cost-effectiveness.

1.2.2 Retail Brand Matrix

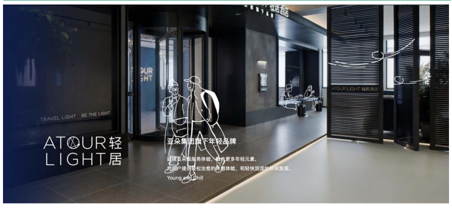
Leveraging insights from hotel scenarios, Atour has expanded into lifestyle retail, forming two core brands:

· **αTOUR PLANET:** A sleep-focused lifestyle brand dedicated to addressing diverse sleep needs. Its flagship products include the Deep Sleep Pillow Pro series (over 3.8 million units sold cumulatively) and Temperature-Regulating Quilt series (launched in summer 2024, autumn-winter 2024, and spring 2025), which have become bestsellers in the sleep product market.

· **SAVHE:** An Oriental aesthetic fragrance brand inspired by "breath", extending the brand's Oriental lifestyle positioning beyond accommodation.

1.2.3 Digital & AI Empowerment

Atour has built an integrated digital system (CRS/RMS/PMS) to enable dynamic pricing, inventory management, and refined operations. The ACARD membership system

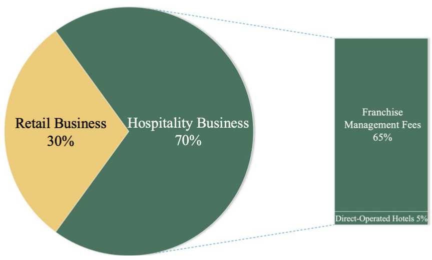


Source: Corporate Officail Website

***F4:* αTOUR PLANET**

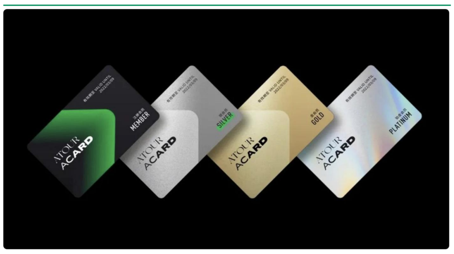
Source: Corporate Officail Website

***F5*: 2024 Revenue Structure Pie Chart**



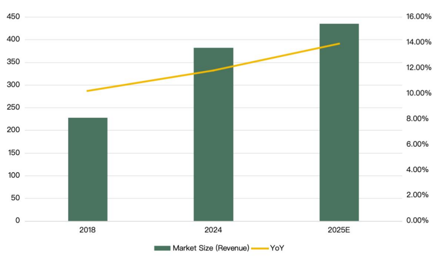
Source: Company 2024 Financial Report

***F6:* ACARD Membership System**



Source: Company Membership Platform Screenshot

***F7:* China's Mid-to-High-End Chain Hotel Market Size & YoY (2018-2025E)**



Source: Frost & Sullivan, China Tourism Hotel Association

***F8:* Evolution Stages of China's Mid-to-High-End Hotel Industry**

and in-store smart devices (self-check-in kiosks, intelligent room controls) further enhance operational efficiency and user experience.

1.3 Business Model

1.3.1 Profit Model (Dual-Engine Driven)

· **Hospitality Business:** Revenue primarily comes from franchise management fees (accounting for over 98% of total hotels under the asset-light franchise model) and direct-operated hotel income. The franchise model minimizes capital expenditure while driving scale expansion.

· **Retail Business:** Revenue is generated from scenario-based sales of lifestyle products (30% of total revenue in 2024), with a gross profit margin of 51%-53%. The "hotel trial + online repurchase" closed loop drives high conversion rates.

· **Other Income:** Includes supply chain procurement rebates—Atour provides centralized purchasing of linens, toiletries, and other supplies for franchisees, creating additional revenue streams.

1.3.2 Sales Model

· **Hospitality:** Asset-light expansion through brand licensing, management standard output, and digital system support, accelerating network coverage while controlling risks.

· **Retail:** "Scenario-based trial + omnichannel sales"—products are displayed and tested in hotel rooms, lobbies, and via bedside cards/miniprograms, guiding users to repurchase online (over 90% of retail sales come from online channels).

· **Membership:** The ACARD system (102 million registered members) forms a private traffic pool with a 52.8% repurchase rate. Direct sales through the membership channel account for 77% of total sales, reducing reliance on OTAs.

Industry Overview

2.1 Market Size and Drivers

2.1.1 Tendency of Market Scale

China's mid-to-high-end hotel industry has maintained steady expansion, emerging as a core growth engine of the overall hotel market. According to data from Frost & Sullivan, the market size of China's mid-to-high-end hotel industry exceeded RMB 380 billion in 2024, with a compound annual growth rate (CAGR) of 12.3% from 2019 to 2024. By the end of 2024, the number of guest rooms in mid-to-high-end hotels reached 15.8 million, accounting for 29.7% of the total hotel market—more than doubling the 14.3% share in 2019.

Atour operates in the high-growth segment of mid-to-high-end chain hotels, where it ranks first in both scale and market share domestically. The segmented track of "mid-to-high-end chain + scenario-based retail" has shown even stronger growth momentum: the hotel-scenario retail market size exceeded RMB 20 billion in 2024, with a CAGR of 35% from 2019 to 2024, driven by the rising demand for "experience-to-purchase" consumption models.

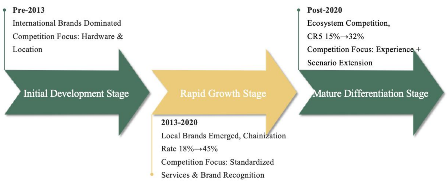
2.1.2 Driving Factors

· **Consumption Upgrade:** China's middle-class population has surpassed 400 million, driving rigid demand for "quality accommodation + emotional experience." Consumers are increasingly substituting budget hotels and non-standard homestays with mid-to-high-end chain hotels that offer standardized services and unique experiences.

· **Policy Support:** Policies such as "rural revitalization," "night economy," and cultural-tourism integration have boosted business travel and leisure travel demand. Consumption stimulus policies have further enhanced willingness to spend on mid-to-high-end services.

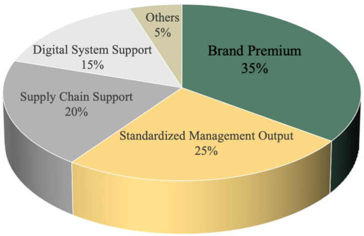
· **Technology Empowerment:** Digital operation systems (CRS/RMS/PMS) have improved hotel efficiency, while AI-enabled services (smart check-in, personalized recommendations) have optimized user experience. The penetration of online channels (own APPs/miniprograms) has reduced customer acquisition costs.

· **Format Integration:** "Hotel + retail" has become a key industry trend, extending the



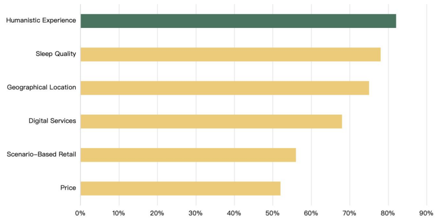
Source: Team Analysis

F9: **B-end (Franchisee) Demand Structure**



Source: Toubao Research Institute 《2024 China Hotel Franchise Industry Report》

F10: **C-end Consumer Demand Priority Ranking**



Source: Atour User Survey, iResearch

value chain of the hotel industry. Scenario-based consumption (e.g., trial and purchase of sleep products in guest rooms) has created new growth points, with leading players like Atour taking the lead in exploring this model.

2.2 Stage of Development

China's mid-to-high-end hotel industry has evolved through the following phases:

· **Initial Development Stage (Pre-2013):** Supply was dominated by international brands (e.g., Marriott, InterContinental), with few local brands. Competition focused primarily on hardware facilities and geographical location.

· **Rapid Growth Stage (2013-2020):** Local brands (Atour, H World's Ji Hotel) emerged, and the chainization rate rose from 18% to 45%. Competition shifted to standardized services and brand recognition.

· **Mature Differentiation Stage (Post-2020):** The industry has moved from "scale competition" to "experience + ecosystem competition." Core trends include "humanistic experience + scenario extension," with integrated models such as "hotel + retail" and "hotel + cultural IP" becoming key differentiators. Market concentration has increased significantly, with the CR5 rising from 15% in 2019 to 32% in 2024.

2.3 Demand Analysis

Demand in the mid-to-high-end hotel industry is divided into B-end (franchisees) and C-end (consumers), with distinct characteristics and common trends:

2.3.1 B-end Demand (Franchisees)

Franchisees' core appeal is "low risk + high return," with key demands including:

· Strong brand premium to enhance pricing power;
· Standardized management output to reduce operational complexity;
· Low-cost supply chain support through centralized procurement;
· Digital system support for dynamic pricing and member drainage.

Franchisees prioritize brands with an investment return period of ≤ 3.5 years—Atour's franchise return period of 3.2 years is industry-leading, driving strong franchisee willingness.

2.3.2 C-end Demand (Consumers)

The core consumer base is divided into two segments with differentiated and common needs：

· **Business Travelers (62% of demand):** Focus on "efficiency + peace of mind," prioritizing late check-out, self-service laundry, office facilities, and membership benefits;

· **Leisure Travelers (38% of demand):** Focus on "experience + emotion," valuing humanistic design, local culture, sleep quality, and scenario-based retail;

· **Common Needs:** Growing requirements for "warm service," "digital experience," and "consistent quality," with a willingness to pay a 15%-30% premium for value-added services.

2.3.3 Demand Trends

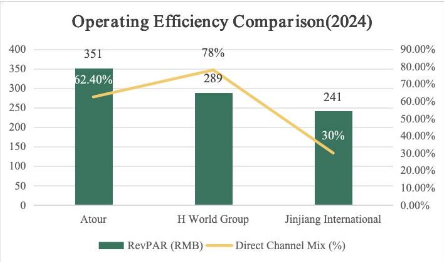
Key trends include personalization (growing demand for non-standard accommodation), scenarioization (integration of accommodation and consumption), digitalization (popularization of contactless services), and healthization (rising focus on sleep and environmental friendliness).

Competitive Positioning

3.1Competition Landscape

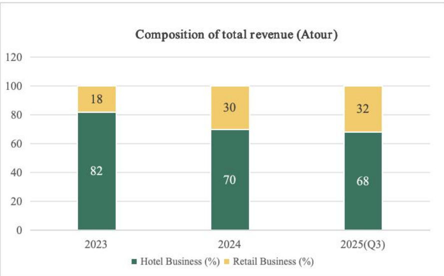
In the mid-to-high-end hotel market, Atour faces intense competition from key players such as H World Group, Jinjiang International, and BTG Hotels, each pursuing distinct strategic paths. H World Group leverages a diversified brand portfolio, including Blossom House and HUALUXE, to cover a broad spectrum from luxury to mid-scale segments. However, its service standardization and brand integration lag behind Atour's, and its retail operations remain peripheral, failing to establish a closed-loop ecosystem akin to Atour's "hospitality + retail" model. Jinjiang International benefits from its state-owned background and an extensive network of over 13,000 properties, providing supply-side scale. Yet, its RevPAR performance is mediocre, member engagement is low, and digital integration lags, hindering its ability to translate scale into premium customer

F11: **Operating Efficiency Comparison(2024)**



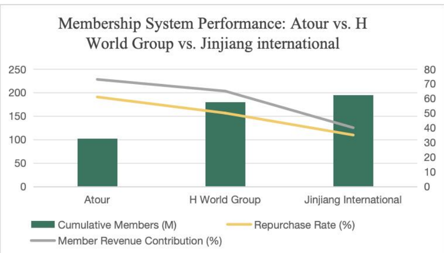
Source: Team Analysis

F12: **Composition of total revenue(Atour)**



Source: Team Analysis

F13: **Membership System Performance: Atour vs. H World Group vs. Jinjiang international**



Source: Team Analysis

loyalty. BTG Hotels relies heavily on its economy brand Homeinns, and while it holds advantages in property acquisition, its upscale transition remains sluggish, with RevPAR in persistent decline and insufficient product strength and brand mindshare compared to Atour's experience-driven approach. Overall, Atour maintains a clear competitive edge through superior RevPAR (RMB 424), stronger member loyalty (61% repeat rate), and a distinctive retail-driven second growth curve (contributing over 30% of revenue), positioning it as a differentiated and premium player in a market where competitors grapple with standardization gaps, operational inefficiencies, and one-dimensional growth models.

3.2 Competitive Edge of Atour

Atour's core competitive advantages stem from its unique "experience-driven" business model, which has established a multi-dimensional moat in the highly competitive mid-to-high-end hotel market.

First, at the brand and service level, Atour has systematically built 12 standardized service touchpoints based on the "Peak-End Rule," transforming humanistic care into a replicable and perceptible experiential loop. This has resulted in a Net Promoter Score (NPS) of 68, far exceeding the industry average, creating a differentiated brand image and a high barrier of customer satisfaction that is difficult to imitate.

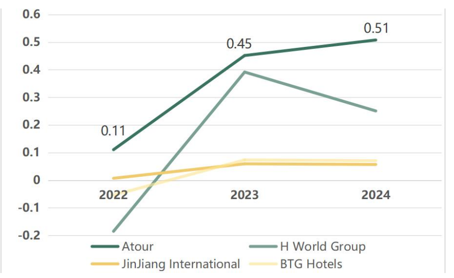
Second, the company has successfully established a dual-engine growth flywheel of "Hospitality + Retail," which stands as one of its most prominent competitive strengths. The retail business is not an independent extension but is deeply integrated into the hotel accommodation scenario. By offering immersive experiences with products such as the "Atour Planet" deep-sleep pillows and temperature-regulating quilts in guest rooms — and seamlessly guiding customers to online purchases via bedside cards, mini-programs, and other touchpoints—Atour achieves efficient "experience-to-purchase" conversion. As of the third quarter of 2025, retail revenue accounted for 32.2% of total revenue, with gross margins reaching 51% – 53%, making it a robust second growth curve and a key profit contributor.

Third, its large-scale membership system and high user engagement constitute a powerful private traffic asset for Atour. By the first half of 2025, cumulative registered members reached 102 million, with membership per store approximately double that of industry leader H World Group. Member repurchase rates remain stable at 61%, contributing over 70% of total revenue and the majority of retail GMV. This has formed a stable customer base centered on proprietary channels (CRS bookings accounted for 62.4% of orders), significantly reducing reliance on OTAs and customer acquisition costs.

Finally, an efficient operational system provides the infrastructure that underpins these advantages. On one hand, the company's self-built supply chain platform facilitates annual procurement exceeding RMB 12 billion, not only providing standardized cost advantages to over 3,000 franchised hotels but also transforming room amenities into retail products—shifting from a cost center to a profit center. On the other hand, an integrated digital system (CRS/RMS/PMS) enables dynamic revenue management and refined operations, supporting an industry-leading occupancy rate of around 80% despite a network of nearly 2,000 hotels.

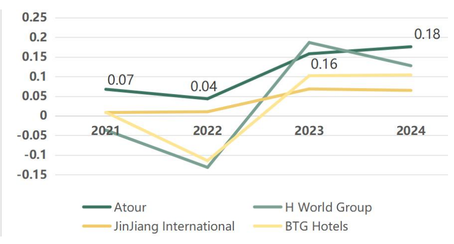
Financial Analysis

F14: ROE



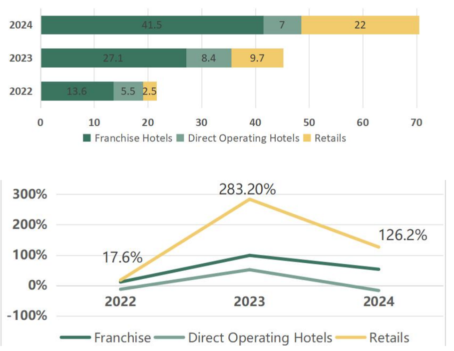
Source: Company Data, Team Analysis

F15: Net Profit Rate



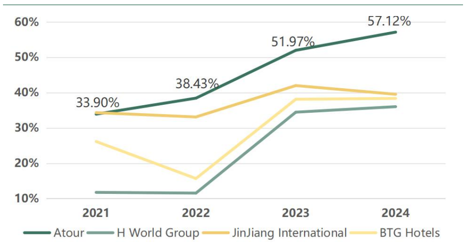
Source: Company Data, Team Analysis

F16: Atour Revenue Composition/ Growth Rate



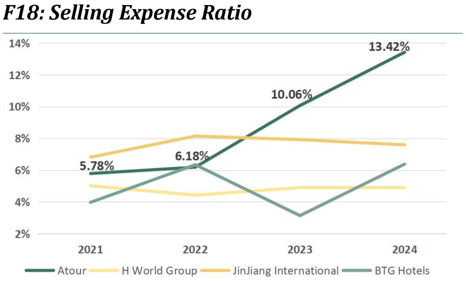
Source: Company Data, Team Analysis

F17: Gross Margin Ratio



Source: Company Data, Team Analysis

F18: Selling Expense Ratio



Source: Company Data, Team Analysis

Company	Atour				Domestic Competitors (2024 data)		
Financial Condition	2021	2022	2023	2024	H World Group	BTG Hotels	Jinjiang International
Profitability							
Gross Profit Margin	25.47%	30.18%	39.42%	41.55%	36.02%	14.34%	12.03%
Net Profit Margin	6.50%	4.25%	15.84%	17.56%	12.76%	10.40%	6.48%
EBITDA Margin	13.92%	11.54%	22.34%	23.99%	25.74%	45.19%	15.86%
EBIT Margin	9.13%	7.29%	19.80%	22.38%	21.77%	19.39%	15.48%
Sales Growth	37.09%	5.37%	106.19%	55.34%	9.18%	-0.54%	-4.00%
Activity							
Accounts Receivable Turnover	11.44x	19.45x	31.66x	41.64x	30.40x	24.67x	9.04x
Inventory Turnover	---	2.62x	5.82x	7.57x	256.89x	113.45x	147.39x
Sales & Management Expenses/ Sale	14.96%	21.65%	19.74%	18.29%	15.42%	18.25%	25.70%
Total asset turnover	0.74x	0.65x	0.40x	1.00x	37.90%	30.93%	29.09%
Fixed asset turnover	3.46x	5.66x	14.90x	30.21x	0.62x	3.85x	3.38x
Net operating cash flow(million)	417.88	283.68	1988.67	1725.95	7518	3370	3562
Liquidity							
Current Ratio	1.35x	1.58x	1.78x	2.02x	0.99x	0.72x	0.89x
Quick Ratio	1.29x	1.53x	1.73x	1.96x	0.99x	0.72x	0.89x
Cash Ratio	0.99x	1.18x	1.20x	1.28x	0.57x	0.50x	0.67x
Solvency							
Debt to Total Assets	74.85%	75.07%	68.73%	62.61%	80.38%	52.50%	65.99%
Non-current Liability to Liability	37.44%	62.30%	47.47%	42.63%	73.51%	67.25%	54.05%
Non-current Liability to Asset	28.02%	46.77%	32.63%	26.69%	59.09%	35.31%	35.67%
Interest Coverage Ratio	37.67x	40.17x	208.30x	559.15x	16.35x	3.93x	4.09x
Investor Ratios							
EPS	0.40	0.26	1.82	3.08	0.98	0.72	0.86
ROE	25.33%	11.04%	45.40%	50.95%	25.07%	7.06%	5.68%
ROA	6.62%	2.74%	13.02%	29.82%	4.84%	3.27%	1.88%

4.1 Overview

Atour has demonstrated comprehensive and sustained improvement in financial performance from 2021 to 2024. Its gross profit margin steadily increased from 25.47% to 41.55%, while its net profit margin rose from 6.50% to 17.56%, reflecting a significant optimization of its profit structure. In 2024, sales growth reached 55.34%, indicating strong revenue expansion momentum driven by the continuous contribution of its "hospitality + retail" dual-engine model.

In terms of operational efficiency, Atour's accounts receivable turnover ratio improved substantially from 11.44x to 41.64x, demonstrating enhanced collection capability and cash flow management efficiency. The sales and management expense ratio remained stable in the 18%-20% range, standing at 18.29% in 2024, indicating effective cost control amid rapid expansion.

The financial structure has been continuously optimized, with the debt-to-assets ratio decreasing from 74.85% to 62.61%, the current ratio improving from 1.35x to 2.02x, and the cash ratio reaching 1.28x, reflecting ample short-term solvency. The interest coverage ratio surged from 37.67x to 559.15x, demonstrating exceptionally strong earnings capacity to cover interest expenses.

Investor returns have been outstanding, with return on equity (ROE) rising from 25.33% to 50.95%, return on assets (ROA) increasing from 6.62% to 29.82%, and earnings per share (EPS) growing from RMB 0.40 to RMB 3.08, highlighting significant improvements in asset utilization efficiency and shareholder value creation.

Overall, Atour has achieved systematic progress across multiple dimensions, including profitability, operational efficiency, financial stability, and shareholder returns, providing a solid financial foundation for its strategic expansion.

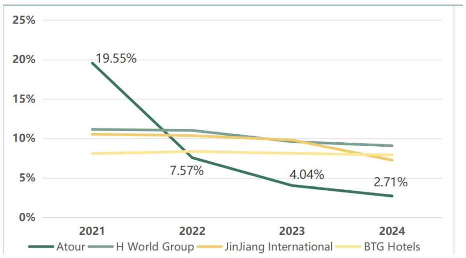
4.2 DuPont Analysis

As shown in Figure 17, Atour's ROE surpassed that of its peers in the past few years, even scaling up to 50% in 2024. **Its elevated ROE is primarily driven by three factors: high net profit margin (core driver), strong asset turnover, and prudent financial leverage**. Among these, **the leap in net profit margin is particularly critical.** Figure 18 illustrates the rise of the company's net profit margin—from 7% in 2021 to 18% in 2024. This performance contrasts sharply with the overall profit pressures faced by the hotel industry.

This outperformance stems from its unique "Hotel + Retail" dual-engine business pattern. Specifically, the rapid growth of its high-margin retail segment, which contributed 30% of revenue in 2024, has reshaped its revenue and profit structure. This has not only built resilience against lodging industry cycles but also created a clear divergence in performance from traditional hotel operators.

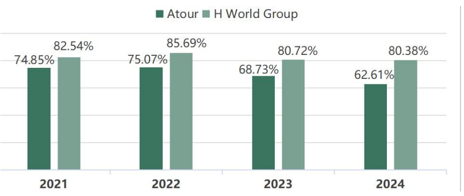
4.2.1 Net profit analysis

F19: Fixed Asset Ratio



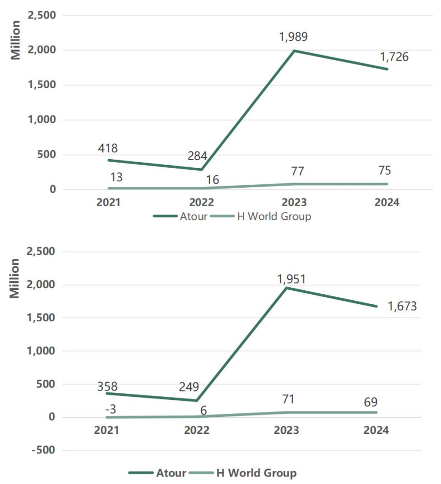
Source: Company Data, Team Analysis

F20: Debt-to-Asset Ratio



Source: Company Data, Team Analysis

F21: Operating/Free Cash Flow



Source: Company Data, Team Analysis

F22: Hotel/ Membership Quantities

Source: Company Data, Team Analysis

Atour's growth driver has shifted from purely hotel expansion to a "Hotel + Retail" dual-driver mode. Figure 19 illustrates the proportion of retail revenue in the total revenue surged from 9% in 2021 to 30% in 2024. This change suggests that instead of relying solely on opening new hotels and boosting occupancy rates, the company has successfully transformed the brand experience and user trust in accommodation scenarios into retail revenue from lifestyle products such as pillows and beddings.

The high-margin retail business is the driving force behind the overall leap in the company's profitability. As shown in Figure 20, the gross margin of the retail business has reached around 50% , significantly higher than that of the traditional hotel operations. With higher shares of this high-profit business in revenue, the company's consolidated gross margin has rose from 26% in 2021 to 42% in 2024. This matches Atour's net profit margin increase: **the retail business has evolved from a supplementary revenue stream into a more critical profit engine.** It effectively mitigated the inherent cyclicality of the industry, demonstrating significant resilience and earnings robustness in both industry upswings and downturns, which is particularly important in current downward trends.

The strategic rise in Atour's sales expense ratio reflects increased marketing investment to scale its high-growth retail business. As shown in Figure 21, Atour's sales expense ratio rose from 6% in 2021 to 13.4% in 2024. This is not a decline in operational efficiency but **a strategic investment** in a high-potential business. The high growth and scaling of the retail business has effectively diluted fixed costs. The gross profit generated by this business can support this additional investment, ultimately reflected in the absolute growth of net profit and the continuous climb of the net profit margin, **forming a virtuous cycle of "investment-growth-profitability."**

In summary, compared to traditional hotel groups, Atour has identified a new, high-margin, high-stickiness growth pole through retail, creating a significant differentiation in its financial performance, particularly in profitability.

4.2.2 Total asset turnover analysis

The light-asset franchise mode is the cornerstone of Atour's efficient asset turnover. Unlike peers operateing more direct hotels to ensure quality, Atour boasts a 97% franchise ratio—expanding primarily through brand and management output rather than direct-owning. As shown in Figure 22, this supports a vast network of over 1,200 hotels with a relatively lean balance sheet. Its core assets focus on light-asset areas like brand management systems and membership programs, enabling higher revenue per unit of total assets, outperforming many heavy-asset competitors.

The synergy between the "hotel + retail" dual engines and supply chain can maximize asset efficiency. Atour has built a high-efficiency business cycle: its extensive hotel network serves as a zero-marginal-cost experience hub, continuously making up for retail; in turn, retail enhances user value, complementing the hotel ecosystem. Supported by a 96 million+ membership base, this transforms one way accommodation transactions into full-lifecycle value mining. **Moreover, centralized supply chain management delivers synergies, consolidating the loop from both cost and supply sides.** Standard procurement reduces hotel operating costs, while converting room amenities from pure consumables into high-margin retail revenue. Investments in brand, systems, and supply chain simultaneously serve both hotel and retail segments, systematically utilizing assets and boosting revenue efficiency.

4.2.3 Equity multiplier analysis

Compared to asset-heavy peers, Atour maintainans lower financial leverage and structure due to its light-capital pattern. As shown in the figure 23, Atour's equity multip than that of H World Groups, , which relies more on directly operated properties. This resul difference in their business pattern: the fact that 97% of Atour's hotels are franchised mean massive debt financing for property acquisition or heavy capital refurbishment, thereby sig interest-bearing debt. Therefore, its outstanding ROE is not achieved by taking on high finar major advantage in terms of financial safety within its growth.

Strong self-funding capability further solidifies its stable financial foundation. As shown in the figure24, Atour has maintained positive free cash flow during recent years. This is mainly due to the low capital expenditure from its light-asset business pattern and the high profit conversion from its "Hotel + Retail" mode. This strong internal cash flow allows the company to fund business development and innovation with operating profits, reducing reliance on external financing and enhancing financial and strategic flexibility—effectively supporting its aggressive business innovation.

4.3 Building Future-Resilient Financial Edge: Retail Growth and Membership Ecosystem

As the DuPont analysis reveals , Atour's future financial growth will still rely deeply dependent on the"Hotel + Retail" dual-engine business pattern and the continued realization of value from its membership ecosystem. Its financial performance is expected to transition from high-speed growth to a new stage of high-quality, sustainable growth centered on ecosystem synergy. The financial pathway lies in: securing the revenue foundation through "member stickiness," using "asset-light cash flow" to fund strategic investments, and continuously investing in retail growth and ecosystem development. Consequently, the focus for observing its financial performance should shift from the growth in the number of hotel rooms to the efficiency of member value extraction, the leverage of the retail business, and the profit quality of the overall ecosystem.

4.3.1 Membership and Retail: Locking in Future Revenue

Atour's financial health is partially pre-secured by its powerful membership ecosystem. As figure 25 indicates, as of 2024, Atour's registered members had surpassed 89 million, with 63% of retail GMV coming from member repurchases. This highly sticky relationship through paid membership programs provides a predictable recurring revenue base. The massive member base and high repurchase rate constitute an "invisible reservoir of future revenue" for hotel stays and retail consumption, offering solid assurance for the stability and visibility of revenue growth.

4.3.2 Light-Asset and Strong Cash Flow: Ensuring Safety and Flexibility

Atour's business mode (97% franchise mix, minimal capex, high-margin retail business) **inherently generates excellent cash flow**. The company has achieved positive operating cash flow and free cash flow for continuous years, and its net operating cash flow is expected to remain strong. This not only enables Atour to weather industry cyclical fluctuations safely but, more importantly, grants it **strategic initiative**—whether it involves increasing R&D investment, upgrading supply chain, or seizing market opportunities, Atour can respond flexibly using its own funds, free from the constraints of the external financing environment, thereby securing a more advantageous position in long-term competition.

4.3.3 Strategic Focus on Retail Expansion and Experience Upgrades

In the future, Atour's sales expenses are expected to remain at an elevated level, primarily for online marketing and market education of the retail brand, aiming to shift the impression of its retail business from a "hotel accessory" to an "independent lifestyle." **Simultaneously, the company will continue to invest in product development, supply chain digitization, and membership management to enhance product competitiveness and the omnichannel experience.** Although period expenses will rise, Atour aims to trade it for higher customer value and a robust ecosystem. This future-oriented investment stratergy, similar to that of tech companies, aims to transform current financial advantages into long-term brand equity and competitive barriers.

Valuation

Method	Target	Weight	Advantages	Limits
DCF	47.08	50%	Precise, easy for scenario analysis	Highly sensitive to certain factors (oil price and WACC)
P/E	49.78	50%	Sales are relatively stable; Free from manipulation	No Reflection of SPA's ability to control costs
Target	**USD48.43**			

5.1 Relative Valuation Method

We first apply the P/E (Price-to-Earnings) valuation method to Atour. This method is suitable for target companies with sustained profitability where earnings reflect true operating capabilities. **As Atour has achieved stable profitability, the P/E method is**

appropriate.

This valuation did not employ the Price-to-Book (P/B) ratio method, as it is more suitable for asset-heavy companies. Atour, operating as a light-asset brand operator, derives its core value from intangible assets such as brand and management capabilities, making its book value of equity inadequate for reflecting its true worth.

We select publicly listed companies similar to Atour in business model, market positioning, and growth stage as comparables, including **Huazhu Group, BTG Hotels, Jinjiang Hotels, Marriott International, and Hilton Hotels.** These are all mid-to-high-end hotel chains that emphasize "lifestyle" or "service experience." Some include economy segments, while others are larger in scale and can serve as benchmarks for premium brand operations. Thus, **taking the average of their P/E multiples as valuation benchmarks for Atour is reasonable.**

T1: . P/E of Comparable Companies

Company 's P/E	2025E	2026E
Huazhu Group	22.79	20.44
BTG Hotels	21.41	18.95
Jinjiang Hotels	30.28	24.20
Marriott International	30.63	28.14
Hilton Hotels	40.16	34.38
Mean	29.05	25.22

Source:Wind,Company Data

T2: Atour's P/E and EPS

Item	2024	2025E	2026E
P/E	28.92	22.27	17.56
EPS	9.27	12.04	15.26

Source:Wind,Company Data

Based on the forward P/E averages of the comparable companies at 29.05 and 25.22 respectively, and considering that Atour's retail business may naturally decelerate after its high-growth phase while supply-demand gaps in the hotel industry persist, the premium valuation is adjusted to parity. **Therefore, Atour is assigned a forward P/E expectation of 23x for 2026.** Given the expected EPS for 2026 of 15.26 CNY, the target price is calculated as 350.98 CNY, which converts to **49.78 USD** based on the exchange rate(**1 USD = 7.05 CNY**).

The forward P/E expectations for Atour over the next two years are below the average of comparable companies, indicating that there is still room for valuation upside, and **it should be considered a buy.**

T4: DCF parameters

Indicator	Value
Discounted Base Year	2025
Income Tax Rate	25.00%
Risk-Free Risk	4.12%
Market Risk Premium	4.60%
β	0.81
Perpetual Growth Rate	4.00%
Target Debt Proportion	1%
Target Equity Proportion	99%
Post-Tax Cost of Debt	3.19%
Cost of Equity	7.91%
WACC	7.86%
Present Value Over the Projection Period(CNY M)	21402.77
Present Value in Perpetuity(CNY M)	89144.89
Enterprise Value(CNY M)	110547.66
Cash and cash equivalents (CNY M, 2025Q3)	2670
Number of Overseas Traded Shares (million shares)	340.88

Source: Team Analysis, Wind

T5: **Sensitivity Analysis – WACC & g**

		WACC				
	47.08	6.86%	7.36%	7.86%	8.36%	8.86%
Terminal Growth	3.00%	49.992585	43.956528	39.171553	35.287441	32.073456
	3.50%	56.097838	48.511109	42.673739	38.045815	34.288791
	4.00%	64.335706	54.420091	47.082569	41.436438	36.959695
	4.50%	76.06006	62.39313	52.802459	45.704824	40.242798
	5.00%	94.078356	73.740572	60.520354	51.242505	44.37583

Source: Team Analysis

5.2 Discounted Cash Flow DCF

Atour's cash flow performance remains robust overall, with consistently strong operating cash flow supporting business expansion, dividend payouts, and financial resilience. Its net operating cash flow has remained positive for multiple consecutive years and **closely aligns with net profit, reflecting the core business's robust "self-sustaining capability."** We believe Atour can achieve sustained growth, meeting the conditions for DCF valuation. Accordingly, we have made the following assumptions regarding the key metrics and conditions required for the DCF valuation:

· **Assume annual cash flows are received at year-end, with an explicit forecast period of eight years (2025–2032).** The unlevered free cash flow for each year is as shown in the table below:

T3: UFCF(2025-2032)

Year	2025	2026	2027	2028	2029	2030	2031	2032
UFCF (CNY M)	1,869.01	2,323.20	2,880.77	3,572.15	4,286.58	5,015.30	5,617.14	6,066.51

Source:Team Analysis

·The terminal value is calculated **based on the perpetuity growth model**, with unlevered free cash flow (UFCF) **growing at a perpetual rate of 4% from 2033 onward.**

·We assume Atour will not significantly adjust its capital structure in the short

term. The cash flows for all periods are discounted using the WACC calculated based on the long-term average capital structure.

·**Atour operates a typical asset-light model with an exceptionally low debt ratio, where equity dominates absolutely.** Debt accounts for approximately **1%** of total capital, while equity constitutes **99%.**

·As U.S. Treasury bonds are commonly regarded as risk-free assets, t**he yield on the 10-year U.S. Treasury note is used as the risk-free rate, currently at 4.12%.**

·This case adopts **a market risk premium of 4.6% for the U.S. market.**

·The USD/CNY exchange rate is set at the current level: **1 USD = 7.05 CNY.**

·**DCF parameters**

Based on the DCF valuation model, the Gordon growth model, and the parameter assumptions outlined above, we estimate that Atour Group's present value of free cash flows during the explicit forecast period is RMB 14,502.1 million, the present value of terminal period cash flows is RMB 100,438.4 million, and the enterprise value amounts to RMB 114,940.5 million.

T4: DCF parameters

Indicator	Value
Discounted Base Year	2025
Income Tax Rate	25.00%
Risk-Free Risk	4.12%
Market Risk Premium	4.60%
β	0.81
Perpetual Growth Rate	4.00%
Target Debt Proportion	1%
Target Equity Proportion	99%
Post-Tax Cost of Debt	3.19%
Cost of Equity	7.91%
WACC	7.86%
Present Value Over the Projection Period(CNY M)	21402.77
Present Value in Perpetuity(CNY M)	89144.89
Enterprise Value(CNY M)	110547.66
Cash and cash equivalents (CNY M，2025Q3)	2670
Number of Overseas Traded Shares (million shares)	340.88

Source:Team Analysis

Investment Risks

6.1 Risks Arising from Macroeconomic Fluctuations and Intensified Competition in the Mid-to-High-End Market

The company positions itself in the mid-to-high-end hotel market, a segment highly sensitive to macroeconomic conditions. Should an economic downturn lead to a contraction in business and leisure demand, it will directly impact occupancy rates and average daily rates (ADR). Meanwhile, leading hotel groups continue to increase investment in the mid-to-high-end sector, and new entrants are accelerating their layout through capital advantages. This may intensify price competition, weaken brand premium capacity, and thereby compress profit margins.

6.2 Operational Risks in Franchise Expansion and Supply Chain Coordination

While the asset-light franchise model enables rapid expansion, it carries the risk of deviations in the implementation of franchisee management standards, which may undermine service quality and brand image. In the process of cross-regional expansion, failure to synchronize localized supply chain development will result in higher procurement costs and reduced operational efficiency. Additionally, the divergence in profitability among franchisees may trigger the withdrawal of some stores, affecting the stability of the overall network.

6.3 Execution Risks in Digital System Integration and Membership System Construction

Digital transformation involves the integration of multiple systems such as Property Management Systems (PMS) and Customer Relationship Management (CRM) systems, entailing both technical implementation challenges and data security risks. Maintaining high member stickiness requires sustained investment in the membership system, yet the homogenization of membership benefits among competitors may erode the company's differentiated advantages. Failure to improve repurchase rates through precision marketing will lead to a rise in customer acquisition costs (CAC), impacting long-term profitability.

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Source: Company Data, Team Analysis

Appendix 1-Basic Data Details of Atour and Peer Companies

Year	Atour （Thousand）	H World Group （Million）	JinJiang International	BTG Hotels
ROE				
2022	0.11	-0.19	0.01	-0.05
2023	0.45	0.39	0.06	0.07
2024	0.51	0.25	0.06	0.07
Total Equity Attributable to Shareholders of the Company				
2022	888365.50	9832.00	16665207151.28	10794560790.36
2023	1632686.50	10432.00	16927149340.34	10841738603.59
2024	2512149.00	12156.00	16042796838.69	11417024640.35
Net income				
2022	98099.00	-1821.00	113485830.77	-582169872.66
2023	737137.00	4085.00	1001746820.21	795072731.99
2024	1275348.00	3048.00	911030750.16	806313276.29
Net Profit Rate				
2021	6.75%	-3.64%	0.84%	0.90%
2022	4.33%	-13.14%	1.03%	-11.44%
2023	15.80%	18.67%	6.84%	10.20%
2024	17.60%	12.76%	6.48%	10.40%
Total Revenue				
2021	2147577	12785	11399658508	6153086628
2022	2262983	13862	11007622988	5089377393
2023	4665967	21882	14649379017	7792924439
2024	7247932	23891	14062981042	7751223529
Gross Margin				
2021	727999	1503	3912775255	1609000265
2022	869671	1602	3643602951	797878024.2
2023	2425077	7541	6151008576	2970449749
2024	4139774	8606	5558253169	2973038961
Gross Margin Ratio				
2021	33.90%	11.76%	34.32%	26.15%
2022	38.43%	11.56%	33.10%	15.68%
2023	51.97%	34.46%	41.99%	38.12%
2024	57.12%	36.02%	39.52%	38.36%
Selling Expenses				
2021	124210.00	641.00	896321515.23	322604876.23
2022	139929.00	613.00	776478598.61	244305898.69
2023	469595.00	1072.00	1160020026.61	494228499.95
2024	972863.00	1176.00	1067589538.59	577148673.25
Fixed Asset				
2021	439015	7056	5125248025	2185518301

2022	360300	6784	4917831572	2129784554
2023	266120	6097	4964830383	2051292131
2024	213676	5682	3346990307	1971658629
Total Asset				
2021	2245147	63269	48600784486	27005858241
2022	4762026	61507	47431068108	25448187601
2023	6587025	63532	50587036855	25240145120
2024	7878814	62552	46109968569	24885179792
Fixed Asset Rate				
2021	19.55%	11.15%	10.55%	8.09%
2022	7.57%	11.03%	10.37%	8.37%
2023	4.04%	9.60%	9.81%	8.13%
2024	2.71%	9.08%	7.26%	7.92%
Debt-to-Asset Ratio				
2021	74.85%	82.54%	63.97%	58.08%
2022	75.07%	85.69%	63.84%	58.31%
2023	68.73%	80.72%	65.68%	55.34%
2024	62.61%	80.38%	65.99%	52.50%
Total Liability				
2021	1680532	52225	31090214940	15684295523
2022	3574620	52704	30280780024	14838109563
2023	4526936	51283	33226463405	13967224015
2024	4932927	50281	30427462145	13064669248
Operating Cash Flow				
2021	417879	1342	2122988605	2308314729
2022	283677	1564	2237695346	1492263786
2023	1988674	7674	5161718936	4013777901
2024	1725948	7518	3561684406	3370866578
Free Cash Flow				
2021	357861.75	-308.25	2330245470.50	2003415709.29
2022	249322.75	598.75	2501506133.54	1191512976.80
2023	1951373.75	7061.75	5490749212.91	3742648047.79
2024	1673050.50	68585.00	3940575348.62	3124517108.75
Interst Expenses				
2021	7937.00	33.00	295941756.14	525156132.70
2022	6501.00	117.00	255232635.40	461001119.82
2023	5005.00	385.00	473961595.13	422268250.32
2024	3110.00	318.00	532205881.17	382617394.36
Capital Expenditure				
2021	65970.00	1675.00	14699451.68	698766118.81
2022	39230.00	1053.00	-72386311.16	646501649.50
2023	41054.00	901.00	26440919.37	587831041.30
2024	55230.00	898.00	20263468.01	533312515.50

Appendix 2-Revenue Composition and Growth Rate of Atour

Year	Franchise Hotels	Direct Operating Hotels	Retails
Revenue Composition of Atour			
2022	13.6	5.5	2.5
2023	27.1	8.4	9.7
2024	41.5	7.0	22.0
YoY Growth Rate of Revenue			
2022	0.115	-0.123	0.176
2023	0.988	0.519	2.832
2024	0.533	-0.164	1.262

Appendix 3-Hotel Data of Atour

Year	Occupancy Rate	Average Daily Rate	Revenue Per Available Room
23Q1	72. 50%	443	337
23Q2	77. 10%	475	384
23Q3	82. 40%	495	424
23Q4	78. 40%	438	358
24Q1	73. 30%	430	328
24Q2	78. 40%	441	359
24Q3	80. 30%	456	380
24Q4	77%	420	337
25Q1	70. 20%	418	304

Appendix 4-Membership and Hotel Information of Atour

Year	Membership	Hotels
2021	30000000	745
2022	35000000	932
2023	63000000	1210
2024	89000000	1619

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